

World in Brief: America and Iran sign their deal; Fed holds interest rates



Photograph: Getty Images

Donald Trump signed the memorandum of understanding to end America's war with Iran. Terms include an end to [fighting in Lebanon](#), the creation of a \$300bn fund for Iran's "reconstruction and economic development" and a ban on its having nuclear weapons. Iran is required to allow ships toll-free transit of the Strait of Hormuz for 60 days while the parties negotiate a final deal.

Shehbaz Sharif, Pakistan's prime minister, confirmed that **Iran** also signed the preliminary deal. America's president signed the document after dining with G7 leaders in Versailles—a palace with a less-than-glorious history of delivering long-lasting peace treaties. He threatened to "bomb the hell" out of [Iran](#) if it violated the agreement. However, the president claimed American allies "love" the deal.

Also at the summit in Versailles, Emmanuel Macron, France's president, said he noticed a "very deep change" in America's approach to **Ukraine**. Mr Macron said the entire G7 now recognised "the territorial integrity" of the country. Volodymyr Zelensky, [Ukraine's](#) president, said he had an "important co-ordinating conversation" with both Mr Trump and Mr Macron at the close of the summit.

The **Federal Reserve** left its benchmark interest rate unchanged, at 3.5% to 3.75%, after [Kevin Warsh's](#) first policy meeting as chair. American stocks fell and two-year Treasury yields jumped on Fed projections showing that nine out of 19 officials forecast at least one rate increase this year; Mr Warsh said he did not submit one.

Tech stocks also fell. The NASDAQ ended the day 1.3% lower as the share prices of Microsoft, Meta and Amazon slipped. SpaceX closed almost 5% lower, the rocketry-and-AI firm's first decline since it began trading following a [record initial public offering](#) last week. After trading closed, the futures of several American stock indexes, including the S&P 500, ticked up.

The **National Stock Exchange**, India's largest bourse, filed for an initial public offering. The pricing and valuation of the IPO are not yet known, but it has the potential to be India's largest ever. If [Jio](#), a telecoms giant, also lists, as is expected, a lean year so far for Indian IPOs may yet turn into a bumper one.

The **European Parliament** voted to allow countries to open "return hubs" outside EU borders. Migrants without the right to remain may be held while awaiting deportation, or detained indefinitely. The tough reforms will also allow authorities to search homes and seize personal belongings. The legislation follows public pressure on lawmakers to limit migration; its draft text was criticised by human-rights groups.

Figure of the day: 97%, the share of respondents who could not hear the difference between AI-generated and man-made music, according to a survey by Deezer, a streaming service. Dive into [our report](#) on how AI is changing creative fields.

No ordinary by-election



Photograph: London News Pictures

Voters in Makerfield, in north-west England, vote on Thursday for a new member of Parliament. The significance of the by-election extends far beyond its suburban setting: Andy Burnham, the candidate for the ruling Labour Party, has said he will challenge Sir Keir Starmer for the party's leadership—and therefore the post of prime minister—if he wins.

His path to victory in Makerfield may have been eased by a split on the right: Nigel Farage's populist Reform UK, which hopes to win the seat, has had to fight off a surprisingly vigorous campaign from the more hardline Restore Britain.

Polls of Labour members suggest Mr Burnham, currently mayor of Greater Manchester and to the left of Sir Keir, would beat him in a head-to-head contest to [lead the party](#). But he will also face Wes Streeting, a centrist former health secretary who has vowed to stand. Makerfield may be merely the opening skirmish in a long and bitter campaign.

Volkswagen needs a firmer grip on the wheel



Illustration: Sandra Navarro

In recent years Volkswagen Group's sales have dropped sharply. The German carmaker, which also owns marques such as Lamborghini and Skoda, sold nearly 11m vehicles in 2019, but only 9m in 2025. The firm now has too many factories and employees. At its annual general meeting on Thursday its boss, Oliver Blume, is likely to outline how it will meet its target of cutting 50,000 jobs in Germany by 2030. As many as 19,000 may go this year.

vw's woes are many. Cut-throat [Chinese competition in Europe](#) has hit sales, and Donald Trump's tariffs on cars imported into America have been costly. The firm's workers in Germany are too expensive, but it backed away from an earlier plan to close a factory there, fearful of powerful trade unions. Unless Mr Blume now takes more drastic action vw's decline is unlikely to reverse.

High oil prices will be here for a while



Photograph: Getty Images

America and Iran are on the brink of a deal that could lead to the reopening of the Strait of Hormuz within 30 days. Markets are already pricing in relief. The gap between prices for oil sourced from inside the Gulf and those for oil from outside, which widened when the strait closed, has narrowed. Brent crude, the global benchmark, has slid below \$80 a barrel, down from more than \$110 in May.

But [the crunch isn't over](#). Assuming the truce holds, it will take weeks for the strait to be made safe for the passage of oil tankers and perhaps months for tankers in other oceans to return. A big oil-supply deficit in the third quarter of this year will drain stocks that are already low. Morgan Stanley expects the price of “dated Brent”—oil to be delivered within a few weeks—to average \$90 between July and September. The pre-war days of abundant oil will not come back quickly.

South Korea's struggling won



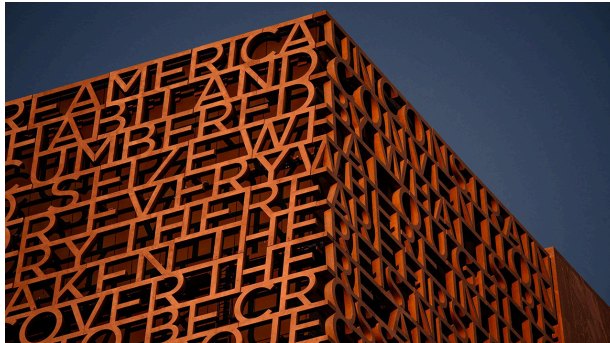
Photograph: AP

Last year, South Korea dodged the worst of Donald Trump's tariffs by pledging to invest \$350bn in America over ten years. On Thursday the government will launch a corporation that will raise the funds and manage the investments.

But South Korea's economic challenges are far from over. Despite booming exports the won is at its weakest against the dollar since 2009. Economists fear that will raise inflation, which reached 3.1% in May, even if the Iran truce lowers energy prices. The investments in America could weaken the won further; the government insists they will be too small to do that.

Ironically, foreign interest in South Korea's [soaring stock market](#) has done less to support the won than it might have. The value of Korean stocks has grown so much that some foreign fund managers have to sell to abide by agreed limits on the weight of the country's assets in their portfolios. Meanwhile, South Koreans keep selling won to invest in America's surging tech stocks. If that dynamic continues, the won may remain under pressure.

A monumental tribute to America's 44th president



Photograph: Alamy

The Obama Presidential Centre will host a grand opening on Thursday. Nicknamed the “Obamalisk” by bemused locals, America’s newest presidential library looms over Chicago’s South Side. The 69m-tall behemoth of granite-covered concrete took five years to build and cost \$850m. It is certainly meant to make an impression.

Presidential libraries are an American institution. They are also increasingly elaborate experiments in legacy-building. The Obama Presidential Centre is fully funded by Barack Obama’s foundation and will be run like a private museum. The centre’s Eleanor Roosevelt Fruit and Vegetable Garden, Harriet Tubman Courtyard and Democracy in Action Lab offer some clues about the story Mr Obama wants to tell about himself.

Detractors will decry the project as fawning and hagiographic. Mr Obama doesn’t have to invite them. One face will be notably absent at Thursday’s ceremony. Donald Trump is the only living president who has not made the invite list.

Daily Quiz



Illustration: Sandra Navarro

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to [\[email protected\]](#). We'll pick three winners at random and crown them on Saturday.

Thursday: Who was nominated for his role as best supporting actor in the film “Sideways”?

Wednesday: Which rebellious song was Alice Cooper’s greatest hit?

*To do great work a man must be
very idle as well as very
industrious.*

Samuel Butler